

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1203

By: Maynard

AS INTRODUCED

An Act relating to public finance; enacting the Strategic Bitcoin Reserve Act; providing definitions; permitting certain investments by the State Treasurer; limiting investments; directing certain taxes and fees be paid to the State General Fund; permitting investment of state retirement funds; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 89.12 of Title 62, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Strategic Bitcoin Reserve Act".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 89.12a of Title 62, unless there is created a duplication in numbering, reads as follows:

As used in this act, the following terms shall mean:

1. "Bitcoin" refers to the decentralized digital currency launched in 2009, based on Satoshi Nakamoto's whitepaper titled

1 "Bitcoin: A Peer-to-Peer Electronic Cash System". Bitcoin also
2 refers to the digital asset which is the basis of the bitcoin
3 exchange-traded product and is regulated by the United States
4 Securities and Exchange Commission;

5 2. "Digital asset" means virtual currency, cryptocurrencies,
6 natively electronic assets, including stablecoins and non-fungible
7 tokens (NFTs), and other digital-only assets that confer economic,
8 proprietary, or access rights or powers;

9 3. "Exchange-traded product (ETP)" refers to any financial
10 instrument that is approved by the United States Securities and
11 Exchange Commission, or the Commodities Future Trading Commission,
12 that is traded on an American regulated exchange and derives its
13 value from an underlying pool of assets, such as stocks, bonds,
14 commodities, or indexes;

15 4. "Private key" means a unique element of cryptographic data,
16 used for signing transactions on a blockchain, and is known to the
17 owner of the private key;

18 5. "Qualified custodian" means any federal or state-chartered
19 bank, trust company, or special purpose depository institution or a
20 company regulated by the state which custodies digital assets for an
21 approved exchange-traded product;

22 6. "Secure custody solution" means a technological product or
23 blended product and service which has all of the following
24 characteristics:

- a. the cryptographic private keys that secure digital assets are exclusively known by and accessible by the government entity,
- b. the cryptographic private keys that secure digital assets are exclusively contained within an encrypted environment and accessible only via end-to-end encrypted channels,
- c. the cryptographic private keys that secure digital assets are never contained by, accessible by, or controllable via a smartphone,
- d. any hardware that contains the cryptographic private keys that secure digital assets is maintained in at least two geographically diversified specially designated secure data centers,
- e. the secure custody solution enforces a multi-party governance structure for authorizing transactions, enforces user access controls, and logs all user-initiated actions,
- f. the provider of the secure custody solution has implemented a disaster recovery protocol that ensures customer access to assets in the event the provider becomes unavailable, and
- g. the secure custody solution undergoes regular code audits and penetration testing from audit firms, and

1 any identified vulnerabilities should be promptly
2 remedied;

3 7. "Stablecoin" means a digital asset that is issued by a
4 corporation backed by dollars or high-quality liquid assets and is
5 redeemable, on demand, by the holder, at par for a fixed monetary
6 value in equivalent United States dollars;

7 8. "Staking" means the act of committing digital assets for a
8 period of time to validate and secure a specific blockchain network;
9 and

10 9. "Staking as a service" means the provision of technical
11 staking services, including the operation of nodes and the
12 associated infrastructure necessary to facilitate participation in
13 blockchain networks' consensus mechanisms.

14 SECTION 3. NEW LAW A new section of law to be codified
15 in the Oklahoma Statutes as Section 89.12b of Title 62, unless there
16 is created a duplication in numbering, reads as follows:

17 A. The State Treasurer may invest public funds in bitcoin or
18 any digital asset with a market cap of over Five Hundred Billion
19 Dollars (\$500,000,000,000.00) averaged over the previous calendar
20 year, and stablecoins from the following funds:

- 21 1. The State General Fund;
- 22 2. The Revenue Stabilization Fund; and
- 23 3. The Constitutional Reserve Fund.

1 B. The amount of public funds that the State Treasurer may
2 invest in bitcoin or any digital assets with a market cap of over
3 Five Hundred Billion Dollars (500,000,000,000.00) averaged over the
4 previous calendar year, and stablecoins may not, at the time the
5 investment if made, exceed ten percent (10%) of the total amount of
6 public funds in that account.

7 C. Any digital assets acquired by any of the funds listed in
8 subsection A of this section shall be held:

9 1. Directly by the State Treasurer through the use of a secure
10 custody solution;

11 2. On behalf of the state by a qualified custodian; or

12 3. In the form of an exchange-traded product issued by a
13 registered investment company.

14 D. The State Treasurer may only hold stablecoins under this
15 section that have received the appropriate regulatory approval from
16 at least one of the competent authorities of the following:

17 1. The United States of America;

18 2. Any state of the United States of America;

19 3. The United Kingdom;

20 4. The Nation of Japan; or

21 5. The European Union.

22 E. If a digital asset can be staked with the Office of the
23 State Treasurer retaining legal ownership of the digital asset, the
24 State Treasurer may engage in staking using a third-party solution.

1 SECTION 4. NEW LAW A new section of law to be codified
2 in the Oklahoma Statutes as Section 89.12c of Title 62, unless there
3 is created a duplication in numbering, reads as follows:

4 All taxes or fees paid to the state in bitcoin shall be
5 transferred to the State General Fund. The State General Fund shall
6 reimburse whatever fund the qualifying digital asset was designated
7 to with United States currency.

8 SECTION 5. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 89.12d of Title 62, unless there
10 is created a duplication in numbering, reads as follows:

11 Any state retirement fund may hold digital assets directly
12 through the use of a secure custody solution, store digital assets
13 with a qualified custodian, or invest digital assets in exchange-
14 traded products that have been duly registered by either the United
15 States Securities and Exchange Commission or the Commodities Future
16 Trading Commission.

17 SECTION 6. This act shall become effective November 1, 2025.

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